

QRU Pivot Points in Day Trading — Book — Free Preview

FRONT MATTER

© 2026 QRU. All rights reserved.

All rights reserved. Single-reader license unless otherwise stated.

Product Governance Package™

- This material is educational and reflects governed knowledge at time of manufacture.
- This material is educational and is not financial, investment, or trading advice. Markets carry risk; consult a licensed financial professional before making decisions.
- Financial: This material is educational and is not financial, investment, or trading advice. Markets carry risk; consult a licensed financial professional before making decisions.

Manufactured by the QRU Factory™ from a Verified Knowledge Record™. AI assisted drafting and advisory scoring; all governed standards were checked by the Factory. AI advisory never approves, certifies, or publishes — governance authority is human/constitutional.

Accessibility: Plain-language explanation, defined vocabulary, and alt-text for visuals where applicable.

Table of Contents

FRONT MATTER

Copyright

Product Governance Package™

Transparency & Disclaimer

Table of Contents

CHAPTERS

Chapter 1

How Traders Locate Turning Points and Draw Key Lines on Charts

Chapter 2

Everyday Analogy

Chapter 3

Simple Definition

Chapter 4

Football Analogy

Chapter 5

Swing High

Chapter 6

Swing Low

Chapter 7

How to Spot Them

Chapter 8

Football Analogy

Chapter 9

Support

Chapter 10

Resistance

Chapter 11

Support and Resistance Are Zones, Not Laser Lines

Chapter 12

Football Analogy

Chapter 13

Step 1: Choose a Timeframe

Chapter 14

Step 2: Mark Obvious Highs and Lows

Chapter 15

Step 3: Draw Horizontal Lines

Chapter 16

Step 4: Treat Lines as Zones

Chapter 17

Step 5: Avoid Overcrowding

Chapter 18

Simple Rule

Chapter 19

Main Pivot Formula

Chapter 20

Continue Learning in the Full Edition

QRU Pivot Points in Day Trading

CHAPTER 1

How Traders Locate Turning Points and Draw Key Lines on Charts

Copyright and Use Notice

This book is for education only. It does not provide financial advice, investment recommendations, or trading instructions. Day trading involves substantial risk, including the possibility of losing money quickly. Always use risk controls, practice before using real money, and consult a qualified financial professional if needed.

CHAPTER 2

Everyday Analogy

Think of a shopping mall during a big sale. If many people gather near one store entrance, that entrance becomes important. Traffic slows, people make decisions, and movement changes.

A chart level works similarly. If many traders paid attention to a price before, it may become important again.

A pivot point is a price area where the market may change direction or where traders expect an important reaction.

There are two common meanings:

1. Visual pivot points

These are turning points seen directly on the chart, such as a swing high or swing low.

2. Calculated pivot points

These are mathematical levels based on previous price data, often the prior day's high, low, and close.

Both types help traders organize the chart.

A pivot point does not predict the future with certainty. It simply marks a place where traders may pay attention.

CHAPTER 3

Simple Definition

A pivot point is a possible turning point or decision area on a chart.

CHAPTER 4

Football Analogy

A pivot point is like a key yard line where the offense either breaks through or gets stopped.

Price approaches the level. Then traders watch:

Does price bounce away?

Does price break through?

Does it hesitate?

Does volume increase?

Does momentum change?

The level itself is not magic. It matters because traders react to it.

The easiest pivot points to see are swing highs and swing lows.

CHAPTER 5

Swing High

A swing high is a local peak on a chart.

Price rises, reaches a high point, then turns lower.

Example:

``text
High
▲
/\n
/\n
``

A swing high often becomes a possible resistance level.

CHAPTER 6

Swing Low

A swing low is a local bottom on a chart.

Price falls, reaches a low point, then turns higher.

Example:

``text
\n

\ /



Low

...

A swing low often becomes a possible support level.

CHAPTER 7

How to Spot Them

A beginner can look for simple turning shapes:

Price rises, stops, then falls → possible swing high

Price falls, stops, then rises → possible swing low

Many traders use candlestick charts, but the concept works on line charts too.

CHAPTER 8

Football Analogy

A swing high is like a team driving downfield and getting stopped near the 20-yard line. They reached that area, but the defense pushed them back.

A swing low is like a team being pinned deep near its own end zone, then finally turning momentum around.

Two of the most important chart concepts are support and resistance.

CHAPTER 9

Support

Support is a price area where buying has been strong enough to stop or slow a decline.

It is like the ground under a falling ball.

When price reaches support, traders ask:

Will buyers step in again?

Will price bounce?

Will sellers overpower buyers and push lower?

CHAPTER 10

Resistance

Resistance is a price area where selling has been strong enough to stop or slow a rise.

It is like a ceiling above a rising ball.

When price reaches resistance, traders ask:

Will sellers appear again?

Will price reject the level?

Will buyers break through?

CHAPTER 11

Support and Resistance Are Zones, Not Laser Lines

Beginners often think support and resistance are exact prices.

In real trading, they are usually areas.

For example, if a stock has reacted around \$50 several times, the important zone may be roughly \$49.80 to \$50.20 rather than exactly \$50.00.

CHAPTER 12

Football Analogy

A yard line is exact, but the struggle happens around it. A team may be inches short, exactly on the line, or slightly past it before the officials decide the result.

Chart levels work the same way. Price often tests around a level rather than stopping perfectly on it.

Drawing key lines is one of the first practical skills traders learn.

The purpose is not to decorate the chart. The purpose is to mark places where price has shown importance.

CHAPTER 13

Step 1: Choose a Timeframe

Day traders often use short timeframes such as:

- 1-minute chart

- 5-minute chart

- 15-minute chart

They may also look at higher timeframes, such as:

1-hour chart

Daily chart

Higher-timeframe levels are often important because more traders can see them.

CHAPTER 14

Step 2: Mark Obvious Highs and Lows

Start with the clearest turning points:

Previous day high

Previous day low

Current day high

Current day low

Major intraday swing highs

Major intraday swing lows

Do not mark every tiny wiggle. Focus on levels that clearly changed price direction.

CHAPTER 15

Step 3: Draw Horizontal Lines

For support and resistance, draw horizontal lines across the chart.

Horizontal levels are useful because they show prices where traders reacted before.

Example:

``text

Resistance



/\

/\

Support

```

## CHAPTER 16

### Step 4: Treat Lines as Zones

---

If price reacted several times near \$100, draw a zone around that area rather than assuming \$100.00 is the only important number.

Example:

```text

Resistance Zone



```

## CHAPTER 17

### Step 5: Avoid Overcrowding

---

Too many lines make the chart confusing.

A beginner should usually mark only the most obvious levels.

A clean chart helps decision-making.

## CHAPTER 18

# Simple Rule

---

If you have to work too hard to justify a line, it may not be important.

In addition to visual levels, many traders use calculated pivot points.

The most common traditional formula is called the classic pivot point.

It uses the previous trading session's:

- High
- Low
- Close

## CHAPTER 19

# Main Pivot Formula

---

```text

$$\text{Pivot Point} = (\text{Previous High} + \text{Previous Low} + \text{Previous Close}) \div 3$$

```

This gives a central reference level for the new trading day.

## CHAPTER 20

# Continue Learning in the Full Edition

---

You're reading a free preview. Unlock the complete, Treasure Standard™ edition to continue.

49 more section(s) are included in the complete Treasure Standard™ edition.

**Continue your understanding at QRU:**

